FRIENDLY AND HOSTILE

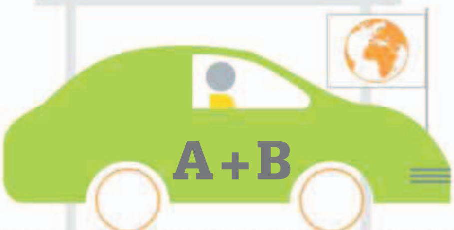
- The target company's board of directors and management agree to be bought out.
- The acquiring company makes an offer of cash or stock to the target company's board and management.
- The stock or cash offer is set at a premium level.
- Because the offer is above actual market level, shareholders usually agree to it.

- The acquiring company bypasses management and goes straight to the target company's shareholders.
- The target company's management fight the deal.
- The buying company convinces shareholders to vote out the management (a proxy fight) *or* it makes an offer to shareholders to buy shares at an above-market price (a tender offer).

NEED TO KNOW

- **Pacman strategy** The target company tries to take over the very company attempting the hostile buyout
- **Swap ratio** An exchange rate between the value of the shares of two companies when merging
- **Defensive merger** Undertaken to anticipate a merger or takeover attempt that threatens a company
- **Economies of scale** Benefit to company of M and A expansion

New company A + B now has an expanded market spanning Europe and North America.



Expanded company A now has in-house expertise for producing animated films.

$112 billion the record annual spend by Japanese companies on overseas mergers and acquisitions, in 2012